

23CHCV03338 23CHCV03338

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Case Number: 23CHCV03338 Hearing Date: August 7, 2026 Dept: F51

LOS

ANGELES SUPERIOR COURT

NORTH

VALLEY DISTRICT

DEPARTMENT

F-51

AUGUST 6,

2026

MOTION FOR SUMMARY

JUDGMENT

Los Angeles Superior Court Case # 23CHCV03338

¿

Motion

Filed: 4/20/26

¿

MOVING PARTY: Defendant Ford Motor Company

("Defendant")

RESPONDING PARTY: Plaintiffs Daryl Haghighi;

and Esther Gold (collectively, "Plaintiffs")

NOTICE: OK

RELIEF REQUESTED: An

order granting summary judgment, or, in the alternative, summary adjudication in favor of Defendant as to Plaintiffs' first through fifth causes of action.

TENTATIVE RULING: The motion for summary judgment is DENIED. The motion for summary adjudication is GRANTED as to Issue Nos. 3, 4, 5, 7, and 8; and DENIED as to Issue Nos. 1, 2, and 6.

EVIDENTIARY OBJECTIONS: Defendant's evidentiary objections are overruled.

Defendant is reminded that

"in a summary judgment or summary adjudication motion, no opening or responding memorandum may exceed 20 pages." (Cal. Rules of Ct., rule 3.1113(d).) Failure to comply with these requirements in the future may result in papers being rejected, matters being placed off calendar, matters being continued so documents can be resubmitted in compliance with these requirements, documents not being considered and/or the imposition of sanctions.

BACKGROUND

On 12/1/20, Plaintiffs allegedly purchased a vehicle manufactured by Defendant, and now bring this action under the Song-Beverly Consumer Warranty Act (Civil Code § 1790 et seq.), alleging that defects and nonconformities manifested themselves during the warranty period. (Compl. ¶¶ 9, 14.)

On 10/31/23, Plaintiffs filed their complaint, alleging against Defendant and the dismissed dealership the following causes of action: (1) Violation of Civil Code Section 1793.2(d); (2) Violation of Civil Code Section 1793.2(b); (3) Violation of Civil Code Section 1793.2(a)(3); (4) Breach of the Implied Warranty of Merchantability; (5) Fraudulent Inducement – Concealment; and (6) Negligent Repair. All causes of action except for the sixth are alleged against Defendant.

On 4/20/26,
Defendants filed the instant motion. On 7/17/26, Plaintiffs filed their
opposition. On 7/27/26, Defendant filed its reply.

ANALYSIS

The function of a motion for
summary judgment or adjudication is to allow a determination as to whether an
opposing party cannot show evidentiary support for a pleading or claim and to
enable an order of summary dismissal without the need for trial. (Aguilar v.
Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) Code of Civil Procedure
section 437c, subdivision (c) “requires the trial judge to grant summary
judgment if all the evidence submitted, and ‘all inferences reasonably
deducible from the evidence’ and uncontradicted by other inferences or
evidence, show that there is no triable issue as to any material fact and that
the moving party is entitled to judgment as a matter of law.” (Adler v.
Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.) “The function of
the pleadings in a motion for summary judgment is to delimit the scope of the
issues; the function of the affidavits or declarations is to disclose whether
there is any triable issue of fact within the issues delimited by the
pleadings.” (Juge v. County of Sacramento (1993) 12 Cal.App.4th 59, 65,
citing FPI Development, Inc. v. Nakashima (1991) 231 Cal.App.3d 367,
381–382.)

As to each claim as framed
by the complaint, the defendant moving for summary judgment must satisfy the
initial burden of proof by presenting facts to negate an essential element, to
establish a defense, or to demonstrate the absence of evidence to support the
plaintiff’s case. (Code Civ. Proc., § 437c, subd. (p)(2); Scalf v. D. B. Log
Homes, Inc. (2005) 128 Cal.App.4th 1510, 1519–1520; Rubenstein v.
Rubenstein (2000) 81 Cal.App.4th 1131, 1142.)

Once the defendant has met
that burden, the burden shifts to the opposing party to show that a triable
issue of one or more material facts exists as to that cause of action or a
defense thereto. To establish a triable issue of material fact, the party
opposing the motion must produce substantial responsive evidence. (Sangster
v. Paetkau (1998) 68 Cal.App.4th 151, 163.) Courts “liberally
construe the evidence in support of the party opposing summary judgment and

resolve doubts concerning the evidence in favor of that party.” (Dore v. Arnold Worldwide, Inc., (2006) 39 Cal.4th 384, 389.)

A.

Violation of

Civil Code Section 1793.2(d)

Plaintiffs’ first cause of

action alleges a Violation of Civil Code section 1793.2, subdivision (d) against Defendant. Under this section of the Song-Beverly Act, “if the manufacturer or its representative in this state does not service or repair the goods to conform to the applicable express warranties after a reasonable number of attempts, the manufacturer shall either replace the goods or reimburse the buyer in an amount equal to the purchase price paid by the buyer, less that amount directly attributable to use by the buyer prior to the discovery of the nonconformity.” (Civ. Code. § 1793.2, subd. (d).)

Here, Defendant argues that “here, the undisputed evidence establishes that Plaintiffs presented the vehicle for only one warranty repair prior to selling the vehicle and filing this lawsuit. As a matter of law, this falls well short of the ‘reasonable number of repair attempts’ required to impose liability under the Act.” (MSJ 7:10–12, citing *Silvio v. Ford Motor Co.* (2003) 109 Cal.App.4th 1205, 1209 [“A trier of fact might determine that two or three or more attempts were reasonable under the circumstances of a case or were unreasonable under those circumstances. A single attempt does not meet the statutory threshold, so that there is no need for a trier of fact to determine its reasonableness.”].)

In support of its argument, Defendant proffers the vehicle repair history, and Plaintiff Haghighi’s deposition testimony, stating that on 12/26/22, Plaintiffs presented the subject vehicle for warranty repairs, specifically for hard shifting and steering wheel noises. (Ex. 3 to Decl. of Emma Maggio, HAG000004–HAG000005; Ex. 4 to Maggio Decl. 73:23–75:18.) In his deposition, Mr. Haghighi confirmed that he did not present the vehicle for any subsequent warranty repairs. (Ex. 4 to Maggio Decl., 80:6–15.)

Based on the foregoing, the Court finds that Defendants have met their initial burden to negate an essential element of Plaintiffs’ first cause of action. The burden thus shifts to Plaintiffs to produce substantial responsive evidence to show that a triable issue of

material fact remains.

In opposition, Plaintiffs argue that “the facts at hand support that Plaintiffs satisfied the requirements of Section 1793.2(d)(2)— or, that at minimum, a triable issue of material fact exists here—as Plaintiffs presented the Vehicle to Defendant’s authorized repair facilities on at least three occasions with complaints regarding the transmission having a hard shift and a gravel sound when turning, while the Vehicle remained under warranty.” (Pls.’ Opp. 5:6–10.) Plaintiffs further argue that Civil Code “Section 1793.2(d) imposes only one affirmative duty on consumers: to permit the manufacturer a reasonable opportunity to repair the vehicle. (Id. at 5:14–15, citing *Oregel v. American Isuzu Motors, Inc.* (2001) 90 Cal.App.4th 1094, 1103–1104 [“the only affirmative step the Act imposes on consumers is to permit[] the manufacturer a reasonable opportunity to repair the vehicle. ... Whether or not the manufacturer’s agents choose to take advantage of the opportunity, or are unable despite that opportunity to isolate and make an effort to repair the problem, are matters for which the consumer is not responsible.”].) Plaintiffs assert that “here, Plaintiffs presented the Vehicle on at least four occasions while the Vehicle was within warranty, and Plaintiff, Mr. Haghighi, testified that he notified FMC’s authorized dealership on three occasions of a hard shift issue with the transmission, which FMC finally attempted to repair on the third occasion.” (Id. at 6:6–9.)

Plaintiffs cite to Mr. Haghighi’s deposition testimony, wherein he states that he mentioned the shifting issue to dealership employees on two or three occasions before the 12/26/22 visit, specifically during his two routine maintenance visits on 10/21/21 and 10/18/22. (Ex. 1 to Decl. of Jacob Lister, 68:12–69:3, 70:1–13.) Plaintiffs further assert that “a failure to document [these] concerns [in the repair history] is not dispositive of Plaintiffs’ claims ... Plaintiffs’ sworn testimony is evidence of their experience with the Vehicle and FMC’s authorized dealership, which contradicts Defendant’s empty records, serving to underscore the issues of fact for the jury on Plaintiffs’ first cause of action.” (Pls.’ Opp. 7:4–9.)

In reply, Defendant argues that “Plaintiffs attempt to create two additional repair opportunities through Mr. Haghighi’s testimony that he ‘mentioned’ hard shifting during the two maintenance visits and believed dealership personnel ‘shrugged off’ the concern. ... Even accepting that testimony, it does not establish that Plaintiffs requested diagnosis or repair,

made the Vehicle available for that purpose, or otherwise afforded the dealership an opportunity beyond the authorized maintenance services. Mr. Haghighi acknowledged that maintenance was the primary purpose of those visits." (Def.'s Reply 2:25–3:2.)

Based on the foregoing, the Court agrees with Plaintiffs that a triable factual issue remains as to whether Mr. Haghighi's mentions of the hard shifting issue during prior maintenance visits, albeit undocumented in the vehicle repair history, constitute reasonable opportunities for Defendant's authorized repair facilities to repair the issue under Oregel. (90 Cal.App.4th 1094.) The Court highlights that at the summary judgment stage, the opposing party's evidence is liberally construed, and any doubts are resolved in favor of that party. Accordingly, the motion is denied as to Issue No. 1.

B.

Violation of
Civil Code Section 1793.2(b)

Plaintiffs' second cause of action alleges a Violation of Civil Code section 1793.2, subdivision (b) against Defendant. Under this section of the Song-Beverly Act, "where those service and repair facilities are maintained in this state and service or repair of the goods is necessary because they do not conform with the applicable express warranties, service and repair shall be commenced within a reasonable time by the manufacturer or its representative in this state. Unless the buyer agrees in writing to the contrary, the goods shall be serviced or repaired so as to conform to the applicable warranties within 30 days." (Civ. Code. § 1793.2, subd. (b).)

Here, Defendant argues that "there is no evidence that any warranty repair took longer than thirty days to complete. The undisputed facts establish that Plaintiffs' vehicle was presented for only one warranty repair on December 26, 2022, and the vehicle was returned to Plaintiffs seven days later on January 2, 2023. This falls far short of the thirty days required for liability under the Act." (MSJ 7:25–28.) Defendant asserts that "Plaintiffs' document production contains no evidence of any repair exceeding 30 days." (Id. at 19:24–25.) Defendant relies on the vehicle repair history, which confirms that the subject vehicle was returned to Plaintiffs on 1/2/23, seven days after Plaintiffs presented it for the warranty repairs. (Ex. 3 to Maggio Decl., HAG000004–HAG000005.)

Based on the foregoing, the Court finds that Defendants have met their initial burden to demonstrate an absence of evidence in support of Plaintiffs' second cause of action. The burden thus shifts to Plaintiffs to produce substantial responsive evidence to show that a triable issue of material fact remains.

Plaintiffs

argue in opposition that "here, as Mr. Haghighi testified in his deposition, Plaintiffs presented the ongoing transmission problem to FMC's authorized dealership across multiple visits, and the dealerships failed to fully repair the problem, likewise the grinding noise when turning the steering wheel persisted after Plaintiffs raised the issue to the dealership. ... At a minimum, there is a question of fact as to whether Defendant failed to conform the Vehicle to the applicable warranties." (Pls.' Opp. 8:11–16.) Plaintiffs therefore maintain that "arguably, Defendant failed to commence repairs within a reasonable time on the transmission complaint that Plaintiff raised over the course of three repair presentations and Defendant only attempted repairs on the third visit, a delay from October 2021 to December 2022." (8:24–27.)

Here, as

set forth above, a triable factual issue exists as to whether Plaintiffs presented the subject vehicle for warranty repairs during the previous maintenance visits, therefore a triable factual issue remains as to whether Defendant unreasonably delayed in commencing the warranty repairs. Accordingly, the motion is denied as to Issue No. 2.

C.

Violation of

Civil Code Section 1793.2(a)(3)

Plaintiffs' third cause of

action alleges a Violation of Civil Code section 1793.2, subdivision (a)(3) against Defendant. Under this section of the Song-Beverly Act, "every manufacturer of consumer goods sold in this state and for which the manufacturer has made an express warranty shall ... Make available to authorized service and repair facilities sufficient service literature and replacement parts to effect repairs during the express warranty period." (Civ. Code. § 1793.2, subd. (a)(3).)

Here, Defendant argues that during discovery, “Plaintiffs identified no facts and produced no evidence in discovery to support this claim.” (MSJ 8:3–4.) Defendant asserts that “the twenty-nine pages of documents that comprise Plaintiffs’ production contain no evidence that Ford failed to meet its statutory obligations.” (Id. at 20:21–22.)

Based on the foregoing, the Court finds that Defendants have met their initial burden to demonstrate an absence of evidence in support of Plaintiffs’ third cause of action. The burden thus shifts to Plaintiffs to produce substantial responsive evidence to show that a triable issue of material fact remains.

In opposition, Plaintiffs argue that they “presented the Vehicle on three occasions with complaints about the transmission having a hard shift before the dealership even attempted repairs, and thereafter Plaintiff Mr. Haghighi testified that while that issue improved with the repairs done it was never fully resolved. ... This is a clear indication that Defendant failed to provide sufficient service literature and parts to affect repairs. Moreover, Plaintiff presented the Vehicle to the dealership for problems with the grinding sound in the steering which was never repaired as Plaintiff continued to experience the noise. ... On these facts, a jury could find that Defendant’s service literature and replacement parts were not up to the task.” (Pls.’ Opp. 9:12–20 [emphasis added].)

In reply, Defendant argues that “Plaintiffs identify no evidence that Ford failed to provide its authorized repair facilities with sufficient service literature or replacement parts. Instead, they argue that the alleged persistence of the transmission and steering concerns permits an inference that Ford’s repair resources were inadequate. ... That inference is unsupported speculation.” (Def.’s Reply 4:15–18.) The Court agrees.

Based on the foregoing, the Court finds that Plaintiffs have failed to meet their responsive evidentiary burden to show that a triable issue remains as to whether Defendant failed to provide its authorized repair facilities with sufficient service literature and replacement parts. Accordingly, the motion is granted as to Issue No. 3.

D.

Breach of
the Implied Warranty of Merchantability

Plaintiffs’

fourth cause of action alleges a Breach of the Implied Warranty of Merchantability against Defendant. The “‘implied warranty of merchantability’ or ‘implied warranty that goods are merchantable’ means that the consumer goods meet each of the following: (1) Pass without objection in the trade under the contract description. (2) Are fit for the ordinary purposes for which such goods are used. (3) Are adequately contained, packaged, and labeled. (4) Conform to the promises or affirmations of fact made on the container or label.” (Civ. Code § 1791.1, subd. (a).) “The duration of the implied warranty of merchantability and where present the implied warranty of fitness shall be coextensive in duration with an express warranty which accompanies the consumer goods, provided the duration of the express warranty is reasonable; but in no event shall such implied warranty have a duration of less than 60 days nor more than one year following the sale of new consumer goods to a retail buyer.” (Id. at subd. (c).)

Here, Defendant argues that “the undisputed facts establish there was no breach during the implied warranty period. Plaintiffs purchased the vehicle on November 28, 2020. ... During the one-year implied warranty period, Plaintiffs did not present the vehicle for any warranty-related repairs.” (MSJ 22:4–6.) Defendant again asserts that “Plaintiffs’ first and only documented presentation of the vehicle for a warranty-related concern did not occur until December 26, 2022—more than one year after the implied warranty expired.” (Id. at 22:14–16.) As set forth above, the Court finds that a triable factual issue remains as to whether Plaintiffs presented the subject vehicle for warranty repairs during prior maintenance visits in October 2021 and 2022.

“The measure of damages for breach of warranty is the difference at the time and place of acceptance between the value of the goods accepted and the value they would have had if they had been as warranted, unless special circumstances show proximate damages of a different amount.” (Civ. Code §2714, subd. (2).) Here, Defendant further argues that Plaintiffs cannot prove the essential element of damages arising from Defendant’s purported breach of the implied warranty of merchantability, because “Plaintiffs have produced no evidence that the vehicle was worth less due to any alleged defect. To the contrary, Plaintiffs sold the vehicle on July 1, 2023, for \$32,500. ... Plaintiffs testified that this price was consistent with comparable vehicles on the market, which they researched prior to the

sale. ... This undisputed evidence affirmatively demonstrates that the vehicle retained its market value and undermines any claim for diminution in value.” (Id. 23:4–8, citing Ex. 4 to Maggio Decl., 63:10–64:11.)

Based on the foregoing, the Court finds that Defendants have met their initial burden to negate an essential element of Plaintiffs’ fourth cause of action. The burden thus shifts to Plaintiffs to produce substantial responsive evidence to show that a triable issue of material fact remains as to the element of damages.

Plaintiffs argue in opposition that “Mr. Haghighi testified that he lost approximately \$20,000 relative to his purchase price, and that he felt ‘forced’ to sell due to the unresolved condition and his wife’s unwillingness to continue driving the vehicle.” (Pls.’ Opp. 11:14–16, citing Ex. 1 to Lister Decl., 64:12–16, 64:22–24.) In reply, Defendant argues that this testimony is insufficient to create a triable issue of material fact because “Plaintiffs offer no appraisal, expert valuation, repair costs, or other evidence showing that the Vehicle was worth less than its warranted value when accepted or that any alleged defect caused a measurable loss.” (Def.’s Reply 6:1–3.) The Court agrees.

Based on the foregoing, the Court finds that Plaintiffs have failed to meet their responsive evidentiary burden to show that a triable issue remains as to the damages Plaintiffs incurred by Defendant’s purported breach of the implied warranty of merchantability. Accordingly, the motion is granted as to Issue No. 4.

E.

Fraudulent

Inducement – Concealment

Plaintiffs’

fifth cause of action alleges Fraudulent Inducement – Concealment against Defendant.

“The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact to the plaintiff; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would not have acted as he or she did if he or she had known of the concealed or suppressed fact; and (5) plaintiff sustained damage as a result of the concealment or suppression of the fact.” (Hambrick v.

1.

Knowledge of Defect

Defendant argues that Plaintiffs “cannot establish that Ford had knowledge of a defect at the time of sale, let alone one that it was either unwilling or unable to fix.” (MSJ 8:11–12.) “In the absence of any pre-sale documents, communications, or involvement by Ford, Plaintiffs have no evidentiary basis to establish that Ford possessed material information about the vehicle at the time of sale—let alone that it concealed such information.” (Id. at 24:17–20.)

Defendant proffers Plaintiffs’ responses to Defendant’s Special Interrogatories, Set One, wherein Defendant asked Plaintiffs to identify documents supporting their contentions that Defendant had exclusive knowledge of the subject defects and concealed them prior to the purchase of the subject vehicle. (Ex 8 to Maggio Decl.) Plaintiffs directed Defendant to the allegations in their complaint, the vehicle repair history, and the documents produced in responses to Defendant’s Requests for Production, Set One. (Ibid.) Plaintiffs also referenced two technical service bulletins (“TSBs”), No. 18-2079 and No. 18-2274, covering transmission issues with some 2017 F-150/Raptor vehicles and 2018 F-150 vehicles. (Id. at 14:18–15:11.)

Defendant argues that “TSBs simply are not evidence of knowledge of a defect.” (MSJ 25:3–4, citing *American Honda Motor Co., Inc. v. Superior Court* (2011) 199 Cal.App.4th 1367, 1378 [“A TSB is not and cannot fairly be construed by a trial court as an admission of a design or other defect, because TSB’s are routinely issued to dealers to help diagnose and repair typical complaints. If a TSB standing alone were sufficient to show a product liability case is proper for class action treatment, then there would be a class action every time a TSB is issued.”].)

Based on the foregoing, the Court finds that Defendants have met their initial burden to demonstrate an absence of evidence to support this essential element of Plaintiffs’ fifth cause of action. The burden thus shifts to Plaintiffs to produce substantial responsive evidence to show that a triable issue of material fact remains as to Defendant’s prior knowledge of the subject defects.

In opposition, Plaintiffs argue that Defendant “had superior knowledge about the pattern of recurring defects during the warranty period that substantially impaired the Subject Vehicle’s use, value, and safety, including: the hard shift in the transmission and gravel sound when turning the steering wheel, and had a duty to disclose that information. The first repair visit also evidences that the Subject Vehicle’s defects began to show within months of purchase—a fact relevant to pre-sale defect conditions.” (Pls.’ Opp. 12:19–23.)

Plaintiffs rely on TSB Nos. 18-2079 and 22-2139. (Ex. 3 to Lister Decl.)[1]

TSB No. 18-2079 states that “Some 2017 F-150/Raptor vehicles equipped with a 10R80 automatic transmission built on or before 1- Aug-2017 may exhibit harsh or delayed shifts and/or an illuminated malfunction indicator lamp (MIL) with diagnostic trouble code (DTC) P0711 stored in the transmission control module (TCM).” (Ibid.) TSB No. 23-2123, issued on 4/13/23, states that “Some 2017-2020 F-150, 2018-2021 Expedition/Navigator/Mustang and 2019-2023 Ranger vehicles equipped with a 10R80 automatic transmission may exhibit a harsh engagement/harsh shift/delayed shift.” (Ibid.)

Plaintiffs argue that “because FMC issued these TSBs through its dealer network for use in repairing Vehicles with the 10R80 transmission, including the Subject Vehicle, FMC arguably had ‘exclusive knowledge’ of the defects pre-dating Plaintiffs’ purchase.” (Pls.’ Opp. 13:10–13.) Plaintiffs further assert that “ultimately, when FMC became aware of the transmission defects, what FMC knew about the defects, and whether its knowledge was ‘exclusive’ are questions of fact for the jury, not matters to be resolved on summary judgment or summary adjudication.” (Id. at 13:19–21.)

Defendant argues in reply that the cited TSBs fail to show that a triable issue of material fact remains because “TSB 18-2079 applies only to certain 2017 F-150/Raptor vehicles built on or before August 1, 2017. It does not apply to Plaintiffs’ 2020 Mustang and identifies different diagnostic criteria and a different repair procedure. TSB 23-2123 includes certain Mustangs, but it was issued more than two years after Plaintiffs purchased the Vehicle. It therefore does not establish what Ford knew in November 2020.” (Def.’s Reply 6:28–7:4.) Defendant therefore asserts that “Plaintiffs’ cited TSBs do not establish that Plaintiffs’ Vehicle contained a defect at the time of sale, that Ford knew of such a defect, or

that Ford was unwilling or unable to repair it. Plaintiffs consequently fail to present substantial responsive evidence of Ford's pre-sale knowledge." (Id. at 7:16–18.) The Court agrees.

Based on the foregoing, the Court finds that Plaintiffs have failed to meet their responsive evidentiary burden to show that a triable issue remains as to whether Defendant had knowledge of the subject vehicle defects Plaintiffs experienced. Accordingly, the motion is granted as to Issue No. 5.

2.

Duty to Disclose

"Fraudulent concealment requires the 'suppression of a fact, by one who is bound to disclose it.'" (Huy Fong Foods, Inc. v. Underwood Ranches, LP (2021) 66 Cal.App.5th 1112, 1121, quoting Civ. Code § 1710, subd. 3.) "A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment)." (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40.) "Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. ... All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances. ... Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large." (Id. at 40–41 [internal quotations and citations omitted].)

Here, Defendant argues that it owed Plaintiffs no duty to disclose because "Plaintiffs' direct dealings with the selling dealership here are insufficient to establish direct dealings with

Ford.” (MSJ 26:22–23.) Defendant argues that “Plaintiffs have no evidence of any direct transaction or ‘direct dealings’ between Plaintiffs and Ford at the time of the sale to give rise to a duty to disclose.” (Id. at 28:20–21.)

In opposition, Plaintiffs argue that “the requisite relationship was created when Plaintiffs entered into a warranty agreement with Defendant.” (Pls.’ Opp. 14:12–13, citing *Scherer v. FCA US, LLC* (S.D. Cal. 2021) 565 F.Supp.3d 1184, 1194 [“here, the Plaintiffs do present a contractual relationship with Defendant, because they entered into a warranty agreement. Accordingly, this contractual relationship or transaction gives rise to a duty to disclose.”].) Therefore, Plaintiffs argue that “the law is clear that the manufacturer’s issuance of a warranty to the consumer purchasing a vehicle is both independent of the sales transaction and serves to confer a transactional relationship on the parties.” (15:22–24.) The Court agrees.

Based on the foregoing, the Court finds that Defendants have failed to meet their initial burden to negate this essential element of Plaintiffs’ fifth cause of action. Accordingly, the motion is denied as to Issue No. 6.

3.

Damages

Defendant further argues that “Plaintiffs have no evidence that they sustained any damages as a result of Ford’s alleged concealment.” (MSJ 29:12–13.) “Plaintiffs offer no appraisal, expert valuation, or other evidence attributing any portion of the purchase-to-resale difference to an alleged concealed defect rather than ordinary depreciation. Their unsupported calculation therefore does not create a triable issue of fraud damages.” (Id. at 9:9–12.) As set forth above, the Court agrees with Defendant that Plaintiffs have failed to proffer substantial evidence of their damages stemming from Defendant’s alleged conduct. Accordingly, the motion is granted as to Issue No. 7.

4.

Economic Loss Rule

“In general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial

harm unaccompanied by physical or property damage.” (Rattagan, 17 Cal.5th at 20.) The Rattagan court set forth a two-part inquiry as to whether the economic loss rule bars contractual fraud causes of action:(1) “A plaintiff must first demonstrate the defendant’s injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. ... [and (2)] the defendant’s conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.” (Id. at 20–21.)

Here, Defendant argues that Plaintiffs’ fifth cause of action is barred by the economic loss rule because “Plaintiffs’ claim—their disappointed expectations as to the quality of their vehicle—sounds purely in contract.” (MSJ 31:9–10.) Defendant further argues that “Plaintiffs have produced no evidence of any additional damage beyond the alleged defect itself.” (Id. at 31:16.)

Based on the foregoing, the Court finds that Defendants have met their initial burden to establish a defense to Plaintiffs’ fifth cause of action. The burden thus shifts to Plaintiffs to produce substantial responsive evidence to show that a triable issue of material fact remains.

In opposition, Plaintiffs argue that “while Rattagan is the binding authority for cases involving the economic loss rule for fraud in the performance, Dhital remains the authority for cases involving the economic loss rule for fraud in the inducement.” (Pls.’ Opp. 16:16–18, citing Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828.) In Rattagan, the California Supreme Court noted that “Rattagan’s tort claims are, of course, based on alleged conduct committed during the contractual relationship but purportedly outside the parties’ chosen rights and obligations. This court has granted review in two other cases — Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, ... and Kia America v. Superior Court (Feb. 3, 2022, D079858) [nonpub. opn.], ... both of which involve claims of fraudulent inducement by concealment claims as well as the potential interplay with remedies available under the Song-Beverly Consumer Warranty Act (Civ. Code, § 1791 et seq.). We do not address these issues here.” (17 Cal.5th at 41, fn.12 [emphasis in original].)

In Dhital, the Court of

Appeal found that the plaintiffs' fraudulent inducement claim was not barred by the economic loss rule at the pleading stage, because the plaintiffs sufficiently alleged fraudulent conduct that was independent of the defendant vehicle manufacturer's alleged warranty breaches. (84 Cal.App.5th at 843.) In reply, Defendant notes that "critically, Dhital expressly left open the possibility that, based on the evidentiary record developed at summary judgment or trial, a purported fraudulent-inducement claim could be found not independent of the plaintiff's contract or warranty claims." (Def.'s Reply 9:18–22, citing Dhital, 84 Cal.App.5th at 842, fn.5 ["We do not preclude the possibility that, depending on the evidentiary record developed at summary judgment or trial, a fraudulent inducement claim could be found not to be independent of a plaintiff's contract or warranty claims."].)

Defendant argues that Plaintiffs

have not shown a tort independent from Defendant's violation of its warranty obligations because "here, Plaintiffs offer no evidence that Ford knew before the sale of a defect it was unwilling or unable to repair, no evidence that Ford had direct dealings with Plaintiffs, and no evidence that Ford communicated or concealed information in the course of their purchase. Plaintiffs likewise allege no harm independent of their disappointed expectations concerning the Vehicle's condition and warranty performance. They suffered no personal injury and no damage to property other than the Vehicle and seek only economic losses associated with the allegedly defective product itself. ... Their claimed loss—the difference between the purchase and resale prices—is a diminished-value claim arising from the alleged product defect." (Id. at 9:22–10:2.)

Based on the foregoing, the Court

agrees with Defendant that "because Plaintiffs offer no competent evidence of independent pre-sale fraud, they cannot establish fraudulent inducement or invoke an exception to the economic loss rule." (Id. at 10:11–13.) The Court therefore finds that Plaintiffs have failed to meet their responsive evidentiary burden to show that a triable issue remains as to whether their fifth cause of action is barred by the economic loss rule. Accordingly, the motion is granted as to Issue No. 8.

CONCLUSION

The motion for summary judgment is DENIED.

The motion for summary adjudication is GRANTED as to Issue Nos. 3, 4, 5, 7, and 8; and DENIED as to Issue Nos. 1, 2, and 6.

[1] As

Defendant observes, “although [Mr. Lister’s] declaration states that he attached TSB 18-2079 and TSB 22-2139, the second document is TSB 23-2123, dated April 13, 2023, which expressly states that it superseded TSB 22- 2139.” (Def.’s Reply 6:24–26.)